specific purpose of mobilizing public deposits to grant loans for home ownership. People pledged part of their future earnings which were used to repay the loan installments over a period of fifteen to twenty years or more. Parekh had been struck by such institutions when he was a student way back in the 1930s at the London School of Economics and wondered why there were no similar institutions back home. This germ of an idea remained with Parekh before it found expression in the form of HDFC four decades later.

Early in his career when he was working with Harkisondass Lukhmidass, Parekh would broach this subject, his hobby horse, with finance experts and policy makers whenever he got the chance. Much to his chagrin, he found that nobody gave the idea a serious thought. He was told that housing was a low priority area; worse still, it was considered a non-productive use of capital.

The subject of housing finance received little attention even after independence. In the first few Five Year Plans, the subject was all but ignored. But by the early 1970s, there was some realization in government circles about the housing problem and it launched the Housing and Urban Development Corporation (HUDCO). Its operations, however, were of a different nature from what Parekh had in mind. It provided bulk finance to housing boards, State Governments, and semi-public corporations, and its emphasis was on providing finance for economically backward workers and low income groups. Still, here at last, was a glimmer of hope. Where Parekh had found closed doors, a window had now opened. He reasoned that there was room in India for more than one kind of housing finance agency. While HUDCO had its own role to play, so would an agency that catered to individuals of low and medium income groups who desperately needed housing, were in a position to afford it in the long run, and were able to repay their loans out of their own earnings over a reasonably long period of time.

The setting up of HUDCO provided the impetus for Parekh to give practical shape to his ideas. Early in the 1970s, while Parekh was with ICICI, he sought the support of bank and insurance chiefs for his proposal to launch a joint housing finance corporation. He received a lukewarm response with the institutions putting the responsibility for its approval on the government. Banks and insurance companies had by then been